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Act No. 169 (H.949). An act relating to homestead property tax yields, the nonhomestead property tax rate, and technical changes to education finance

Subjects: Education; taxation and finance; education property tax; special education; City of Barre; nonhomestead rate; education finance; overpayment; tax increment financing district; homestead yields; homestead property tax credit and renter credit; census grant; statewide adjustment

This act sets the property dollar equivalent yield at \$9,401.00 and the income dollar equivalent yield at \$12,960.00 for the purpose of setting homestead property tax rates in fiscal year 2027. This act sets the nonhomestead property tax rate in fiscal year 2027 at \$1.643 per \$100.00 of equalized education property value.

This act makes a technical correction to the application of the statewide adjustment for determining property tax credits. This act also appropriates funds from the Education Fund to refund the City of Barre for overpayments from the City's TIF district. This act additionally codifies the fiscal year 2027 uniform base amount for purposes of calculating census grants to support special education and adds a perpetual inflator.

This act extends the existing exemption from the excess spending penalty for voter-approved bond payments to bonds approved by voters prior to July 1, 2026. This act also reduces the excess spending threshold in fiscal year 2028 from 118 percent to 115.5 percent of the excess spending base and annually reduces the excess spending threshold until reaching 112.5 percent of the excess spending base in fiscal year 2032.

This act expands the renter credit for claim year 2027 only by increasing the statutory cap on the credit from \$2,500.00 to \$3,250.00 and increasing the factor for determining the maximum credit from 10 percent of fair market rent to 12.5 percent of fair market rent. This act also permanently expands income sensitivity measures under the property tax credit system beginning in fiscal year 2028 by increasing the maximum income threshold from \$47,000.00 to \$50,000.00 for both the statewide and municipal circuit breakers.

This act additionally makes conforming changes to the excess spending penalty and income sensitivity measures to account for the rollout of the foundation formula in fiscal year 2030.

This act limits increases in tuition paid to a public or approved independent receiving school for fiscal years 2028 through 2032 to the annual growth in statewide education spending.

Multiple effective dates, beginning on July 1, 2026